

# Bank of Leeds Investment Report

## Yorkshire Coastal Regeneration & Commercial Property Opportunity

### Scarborough, Whitby, Bridlington and the Yorkshire Coast Summer Economy

Prepared for: Bank of Leeds – Yorkshire Regional Investment Strategy

Sector: Commercial Property, Tourism Infrastructure, Seasonal Enterprise Finance

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## Executive Summary

The Yorkshire Coast represents an undercapitalised tourism and commercial property opportunity.

Despite attracting millions of visitors annually, many coastal towns remain characterised by:

- undervalued commercial property,
- seasonal trading patterns,
- empty high-street units,
- limited evening economies,
- insufficient visitor-focused investment.

The investment thesis is:

Yorkshire coastal towns are not declining seaside economies; they are emerging experience economies requiring modern capital allocation.

Scarborough alone attracts **over 7 million visitors annually**, generating **more than £520 million in visitor expenditure** and supporting approximately **12,600 full-time equivalent jobs**.

The opportunity for a regional institution such as **Bank of Leeds** would be to create a specialist coastal investment programme combining:

1. Commercial property acquisition.
2. Summer pop-up enterprise financing.
3. Hospitality redevelopment loans.
4. Tourism infrastructure investment.
5. Local entrepreneur support.

A £50m–£100m Yorkshire Coastal Growth Fund could realistically unlock:

- £200m+ private-sector regeneration,
- hundreds of new seasonal businesses,
- increased property values,

- longer visitor stays,
  - improved town-centre productivity.
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# 1. Investment Thesis

## Yorkshire Coast: An Undervalued Tourism Asset

The Yorkshire Coast has several structural advantages:

### Geographic Advantage

Within approximately two hours of:

- Leeds
- Sheffield
- York
- Newcastle
- Manchester

The region has access to millions of domestic tourists.

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## Existing Tourism Demand

Scarborough is one of Britain's oldest seaside resorts and remains the largest coastal economy in Yorkshire.

Current economic indicators:

| Metric                       | Scarborough     |
|------------------------------|-----------------|
| Annual visitors              | 7 million+      |
| Visitor spending             | £520m+          |
| Tourism-supported employment | 12,600 FTE jobs |

The issue is not demand.

The issue is **capturing more visitor spending per person.**

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# 2. The Commercial Property Opportunity

## Current Market Problem

Many coastal towns suffer from:

- vacant retail units,
- outdated amusement infrastructure,

- low-quality hospitality stock,
- underused upper floors.

This creates a value opportunity.

A city-centre retail unit that struggles as a traditional shop can become:

- craft brewery,
  - seafood restaurant,
  - surf shop,
  - gaming venue,
  - co-working café,
  - boutique accommodation,
  - cultural venue.
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## 3. Scarborough Commercial Property Strategy

### Acquisition Model

Bank of Leeds Coastal Property Fund:

#### Target Assets

Acquire:

- vacant high street units,
- former amusement buildings,
- Victorian hotels,
- small retail blocks,
- harbour-side property.

Target purchase:

£150,000–£750,000 assets.

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### Example Investment

#### Property

Scarborough town-centre unit:

Purchase:

£350,000

Renovation:

£150,000

Total:

£500,000

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Create:

## **Yorkshire Coast Experience Hub**

Uses:

Ground floor:

- local food market
- coffee shop
- visitor information
- artisan retail

Upper floors:

- offices
- short-term accommodation
- creative studios

Potential valuation after regeneration:

£750,000–£900,000

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## **4. Summer Pop-Up Enterprise Model**

The largest missed opportunity is seasonal entrepreneurship.

Coastal towns have intense demand for 12–16 weeks annually.

A financial institution could create:

## **Yorkshire Summer Enterprise Fund**

### **Funding:**

£10 million pilot

Provide:

£5,000–£50,000 loans

to:

- food operators,
- events businesses,
- artists,
- retailers,

- tourism entrepreneurs.
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## **Example Businesses**

### **Beach Food Concepts**

Examples:

- Yorkshire seafood shack
- artisan ice cream
- Yorkshire pudding street food
- local brewery terraces

Investment:

£25,000

Possible summer turnover:

£80,000–£150,000

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### **Adventure Tourism**

Businesses:

- paddleboarding
- coastal cycling
- climbing experiences
- guided walks

Investment:

£15,000

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### **Evening Economy**

Scarborough particularly lacks enough evening spending.

Potential:

- rooftop bars
  - live music venues
  - comedy clubs
  - cultural nights
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## 5. Seasonal Business Banking Product

Bank of Leeds could create:

### Coastal Seasonal Business Account

Designed for:

April–September trading.

Features:

- flexible repayment,
- winter payment holidays,
- equipment finance,
- merchant banking,
- POS finance.

Example:

Business borrows:

£30,000

Summer revenue:

£100,000

Repays over:

24 months.

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## 6. Tourism Property Development Opportunities

### Scarborough Harbour Quarter

Scarborough already has identified regeneration opportunities around town-centre connections and mixed-use development. Investment proposals include redevelopment sites linking the station, town centre and waterfront with leisure, tourism and commercial uses.

Potential:

- boutique hotels,
  - restaurants,
  - visitor attractions,
  - marine economy businesses.
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# 7. Yorkshire Coast Investment Portfolio

## Portfolio A: Hospitality

Investment:

£25m

Projects:

- boutique hotels
- guesthouse conversions
- premium accommodation

Target:

Increase overnight stays.

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## Portfolio B: High Street Renewal

Investment:

£20m

Acquire:

40–50 commercial units.

Average:

£400,000 each.

Create:

- independent retail,
  - food,
  - entertainment.
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## Portfolio C: Summer Enterprise Fund

Investment:

£10m

Support:

200–300 businesses.

Average loan:

£30,000–£50,000.

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# 8. Economic Impact Model

## Initial Investment

£55 million

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## Direct Effects

Property:

£25m

Business loans:

£10m

Regeneration:

£20m

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## Potential Outcomes

### New Businesses

250 enterprises

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### Employment

Assumption:

Each enterprise creates:

2–5 jobs

Potential:

750–1,250 jobs

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### Additional Tourism Spending

If investment increases visitor spending by only:

10%

Scarborough alone:

£520m × 10%

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## £52m additional annual spending

Across the Yorkshire Coast:

Potential:

£100m+ annual uplift.

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## 9. Risk Assessment

### Risk 1: Seasonality

Solution:

Move from:

"summer seaside"

to:

"four-season destination".

Develop:

- winter festivals,
- food tourism,
- conferences,
- remote working retreats.

Scarborough's regeneration plans specifically identify the need to build a stronger year-round economy rather than relying solely on seasonal tourism.

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### Risk 2: Low-Income Tourism

Solution:

Increase premium visitor products.

The goal is not simply more visitors.

The goal:

Higher spending visitors staying longer.

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### Risk 3: Poor Perception

Solution:

Brand transformation.

Examples:

"Yorkshire Riviera"

"England's Adventure Coast"

"Britain's Creative Coast"

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## 10. Recommended Bank of Leeds Programme

### Yorkshire Coastal Investment Bank

A dedicated division:

#### Capital Allocation:

£100m target fund

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Investment areas:

| Sector                | Allocation |
|-----------------------|------------|
| Commercial property   | £40m       |
| Hospitality           | £25m       |
| Pop-up enterprises    | £15m       |
| Tourism technology    | £5m        |
| Events infrastructure | £15m       |

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## Final Recommendation

The Yorkshire Coast should be treated as a **growth market rather than a regeneration problem**.

Scarborough, Whitby, Bridlington and neighbouring towns possess:

- millions of visitors,
- historic architecture,
- coastal assets,
- proximity to major cities,
- strong Yorkshire identity.

The investment opportunity is to convert seasonal footfall into permanent economic value.

A Bank of Leeds coastal investment strategy could position itself as:

**The financial institution that rebuilt Yorkshire's coastline through local capital, local entrepreneurs and local property ownership.**

The strategic objective:

**Turn 7 million annual visitors into a £1 billion Yorkshire coastal visitor economy.**